

BANKING

Succession Challenges

From building the loan portfolio to managing CASA and harnessing the power of AI, SBI's new Chairman will have his hands full for the next three years

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CLIMBING THE LADDER Challa Sreenivasulu Setty had joined SBI in 1988 as a probationary officer

► **FOR MORE THAN** 20 years, successive chairmen of the State Bank of India (SBI) have consolidated the lender's standing as the country's largest bank. From O.P. Bhatt, who made the elephant dance, to Arundhati Bhattacharya, the first woman to lead the bank, the bank has maintained its top position despite private sector competition. Now, the baton passes to Challa Sreenivasulu Setty, who joined the bank in 1988 as a probationary officer. Setty will replace the current Chairman, Dinesh Kumar Khara, who retires on August 28.

Setty, who was promoted to the SBI board as a Managing Director in January 2020, has his task cut out. Building loan portfolios in emerging sectors, expanding the Yono 2.0 app to attract tech-savvy customers, harnessing the power of AI and data analytics for seamless customer onboarding and fraud detection, addressing climate risk in the balance sheet, managing

SETTY WILL REPLACE SBI'S CURRENT CHAIRMAN, DINESH KUMAR KHARA, WHO RETIRES ON AUGUST 28

the challenges of current account and savings account (CASA), and unlocking value in non-bank subsidiaries are some key challenges.

The bank, with assets of ₹61.79 lakh crore at the end of FY24, has already identified opportunities in sunrise sectors under the government's production-linked incentive (PLI) scheme. Companies are investing in renewables, green hydrogen, electric cars, lithium batteries, etc. With a 20% share in the lending market, SBI has always been at the forefront of new economic sectors.